

pro forma for 1968. Since a good part of the cost of Sharon stock was to be treated as paid for by warrants, it was necessary to show the initial market value of the warrants as part of the common-stock capital figure. Thus in this case, as in no other that we know, the warrants were assigned a substantial value in the balance sheet, namely \$22 million+ (but only in an explanatory note).

7. Technological Companies as Investments

In the Standard & Poor's services in mid-1971 there were listed about 200 companies with names beginning with Compu-, Data, Electro-, Scien-, Techno-. About half of these belonged to some part of the computer industry. All of them were traded in the market or had made applications to sell stock to the public.

A total of 46 such companies appeared in the S & P *Stock Guide* for September 1971. Of these, 26 were reporting deficits, only six were earning over \$1 per share, and only five were paying dividends.

In the December 1968 *Stock Guide* there had appeared 45 companies with similar technological names. Tracing the sequel of this list, as shown in the September 1971 *Guide*, we find the following developments:

<i>Total Companies</i>	<i>Price Advanced</i>	<i>Price Declined Less Than Half</i>	<i>Price Declined More Than Half</i>	<i>Dropped from Stock Guide</i>
45	2	8	23	12

COMMENT: It is virtually certain that the many technological companies not included in the *Guide* in 1968 had a poorer subsequent record than those that were included; also that the 12 companies dropped from the list did worse than those that were retained. The harrowing results shown by these samples are no doubt reasonably indicative of the quality and price history of the entire group of "technology" issues. The phenomenal success of IBM and a few other companies was bound to produce a spate of public offerings of new issues in their fields, for which large losses were virtually guaranteed.